BALANCE OF PAYMENT (BOP)

A country has to deal with other countries in respect of the following

1. **Visible items** which include all types of physical goods exported and imported.

2. **Invisible items** which include all those services whose export and import are not visible. e.g. transport services, medical services etc.

3. **Capital transfers** which are concerned with capital receipts and capital payment.

Balance of Payments

According to Kindle Berger, "The balance of payments of a country is a systematic record of all economic transactions between the residents of the reporting country and residents of foreign countries during a given period of time".

It is a double entry system of record of all economic transactions between the residents of the country and the rest of the world carried out in a specific period of time

when we say "a country's balance of payments" we are referring to the transactions of its citizens and government.

Features

- It is a systematic record of all economic transactions between one country and the rest of the world.
- It includes all transactions, visible as well as invisible.
- It relates to a period of time. Generally, it is an annual statement.
- It adopts a double-entry book-keeping system. It has two sides: credit side and debit side. Receipts are recorded on the credit side and payments on the debit side.

Balance of Trade

The difference between a country's imports and its exports. Balance of trade is the largest component of a country's balance of payments.

Debit items include imports, foreign aid, domestic spending abroad and domestic investments abroad.

Credit items include exports, foreign spending in the domestic economy and foreign investments in the domestic economy.

When exports are greater than imports than the BOT is **favourable** and if imports are greater than exports then it is **unfavourable**

Balance of Trade V/s Balance of Payment

The Balance of Payment takes into account all the transaction with the rest of the worlds

The Balance of Trade takes into account all the *trade* transaction with the rest of the worlds

BOP v/s BOT

BOP	BOT
1. It is a broad term.	1. It is a narrow term.
2. It includes all transactions related to visible, invisible and capital transfers.	2. It includes only visible items.
3. It is always balances itself.	3. It can be favourable or unfavourable.
4. BOP = Current Account + Capital Account + or - Balancing item (Errors and omissions)	4. BOT = Net Earning on Export - Net payment for imports.
5. Following are main factors which affect BOP a)Conditions of foreign lenders. b)Economic policy of Govt. c) all the factors of BOT	5. Following are main factors which affect BOT a) cost of production b) availability of raw materials c) Exchange rate d) Prices of goods manufactured at home

The various components of a BOP statement

1. Current Account
2. Capital Account
3. Reserve Account
4. Errors & Omissions

Current Account Balance

- BOP on current account is a statement of actual receipts and payments in short period.
- It includes the value of export and imports of both visible and invisible goods. There can be either surplus or deficit in current account.
- The current account includes:- export & import of services, interests, profits, dividends and unilateral receipts/payments from/to abroad.
- BOP on current account refers to the inclusion of three balances of namely – Merchandise balance, Services balance and Unilateral Transfer balance

Capital Account Balance

- The capital account records all international transactions that involve a resident of the country concerned changing either his assets with or his liabilities to a resident of another country. Transactions in the capital account reflect a change in a stock – either assets or liabilities.
- It is difference between the receipts and payments on account of capital account. It refers to all financial transactions.
- The capital account involves inflows and outflows relating to investments, short term borrowings/lending, and medium term to long term borrowing/lending.

The Reserve Account

Three accounts: **IMF, SDR, & Reserve and Monetary Gold** are collectively called as The Reserve Account.

The IMF account contains purchases (credits) and re-purchase (debits) from International Monetary Fund.

Special Drawing Rights (SDRs) are a reserve asset created by IMF and allocated from time to time to member countries. It can be used to settle international payments between monetary authorities of two different countries.

Disequilibrium In The Balance Of Payments

A disequilibrium in the balance of payment means its condition of Surplus Or deficit

- ✓ **A <u>Surplus</u> in the BOP** occurs when Total Receipts exceeds Total Payments. Thus,

  BOP= CREDIT>DEBIT

- ✓ **A <u>Deficit</u> in the BOP** occurs when Total Payments exceeds Total Receipts. Thus,

  BOP= CREDIT<DEBIT

FOREIGN EXCHANGE

FOREIGN EXCHANGE

- Popularly referred to as "FOREX"
- The conversion of one country's currency into that of another.
- It is the minimum number of units of one countries currency required to purchase one unit of the other countries currency.

WHY IT NEEDED???.....

- Different countries have different currencies with different values....

  Example: India - Rupees

  America -Dollar

  China - Yuan

- When trade takes place.....

  the persons of these countries have to convert their currencies to other countries currencies to make payments

- For this purpose the concept of foreign exchange come into operation.
- Under mechanism of international payments, the currency of a country is converted in to the currency of another country through **FOREIGN EXCHANGE MARKET**.
- The effect of globalization and international trade
- Increased import and export

FOREIGN EXCHANGE MARKET

- Also called “FOREX” market.
- It is the place were foreign moneys were bought and sold.
- It involves the buying of one currency and selling of another currency simultaneously.
- Exchange rates are determined here….
- Has no geographical boundaries…..

FOREIGN EXCHANGE RATE

- It is the rate at which one currency will be exchanged for another in foreign exchange.
- It is also regarded as the value of one country's currency in terms of another currency.

There are three basic types;

Fixed rate

Floating rate

Managed rate

FIXED EXCHANGE RATE

- It is the system of following a fixed rate for converting currencies.
- In this system, the government (or the central bank acting on its behalf) intervenes in the currency market in order to keep the exchange rate close to a fixed target.
- It does not allow major fluctuations from the central rate.

Advantages

- ✓ It provide the stability of exchange rate.
- ✓ Fixed rates provide greater certainty for exporters and importers.

Disadvantages

- ✓ Too rigid to take care of major upheavals.
- ✓ Need large reserves to defend the fixed exchange rate.
- ✓ May cause destabilizing speculations; most currency crisis took place under a fixed exchange system.

FLOATING/FLEXIBLE EXCHANGE RATE

- Under the flexible exchange rate system, the rate of exchange is allowed to vary to suit the economic policies of the government.
- Flexible exchange rates are exchange rates, which fluctuate according to market forces.
- The value of the currency is determined solely by the forces of demand and supply in the exchange market.(self correcting mechanism)

Advantages

- ✓ Automatic adjustment for countries with a large balance of payments deficit.
- ✓ Flexibility in determining interest rates
- ✓ Allow countries to maintain independent economic policies.
- ✓ Permit a smooth adjustment to external shocks.
- ✓ Don't need to maintain large international reserves.

Disadvantages

- ✓ Flexible exchange rates are highly unstable so that flows of foreign trade and investment may be discouraged.
- ✓ They are inherently inflationary.

MANAGED EXCHANGE RATE

- Managed exchange rate systems permit the government to place some influence on an exchange rate that would otherwise be freely floating.
- Managed means the exchange rate system has attributes of both systems.
- Through such official interventions it is possible to manage both fixed and floating exchange rates.

INTERNATIONAL MONETARY FUND

Introduction

The formation of the IMF was initiated in 1944 at the Bretton Woods Conference.

IMF came into operation on 27th Dec 1945 and is today an international organization that consists of 189 member countries.

Headquarter in Washington, D.C ., IMF focuses on fostering global monetary cooperation, securing financial stability, facilitating and promoting international trade, employment, and economic growth around the world.

The IMF is a specialized agency of the United Nations.

Objectives of the IMF

IMF was developed as an initiative to promote international monetary cooperation, enable international trade, achieve financial stability, stimulate high employment, diminish poverty in the world, and sustain economic growth. Initially, there were 29 countries with a goal of redoing the global payment system. Today, the organization has 189 members.

The main objectives of the International Monetary Fund (IMF) are mentioned below:

- To improve and promote global monetary cooperation of the world.
- To secure financial stability by eliminating or minimizing the exchange rate stability.
- To facilitate a balanced international trade.To promote high employment through economic assistance and sustainable economic growth.
- To reduce poverty around the world.

Functions of the IMF

IMF mainly focuses on supervising the international monetary system along with providing credits to the member countries. The functions of the International Monetary Fund can be categorized into three types:

- **Regulatory functions**: IMF functions as a regulatory body and as per the rules of the Articles of Agreement, it also focuses on administering a code of conduct for exchange rate policies and restrictions on payments for current account transactions.
- **Financial functions**: IMF provides financial support and resources to the member countries to meet short term and medium-term Balance of Payments (BOP) disequilibrium.
- **Consultative functions:** IMF is a centre for international cooperation for the member countries. It also acts as a source of counsel and technical assistance.

WORLD TRADE ORGANIZATION

The World Trade Organization (WTO) is an intergovernmental organization dealing with the rules of trade between nations. At its heart are the WTO agreements, negotiated and signed by the bulk of the world's trading nations and ratified in their parliaments. The goal is to ensure that trade flows as smoothly, predictably, and freely as possible.

Functions of WTO

Its main functions include:

1. administering WTO trade agreements,
2. it acts as a forum for negotiating trade agreements,
3. it settles trade disputes between its members -, monitoring national trade policies,
4. providing technical assistance and training for developing countries, an
5. ensuring cooperation with other international organisations.

Through negotiations among its member states, the WTO has established a system of agreements regulating international trade.

The major treaties are :

1. the General Agreement on Tariffs and Trade (GATT) dealing with the trade in goods,
2. the General Agreement on Trade in Services (GATS),
3. and the Agreement on Trade-related Aspects of Intellectual Property Rights (TRIPS).

Within this framework, the WTO deals with several Internet governance and digital policy related issues, including e-commerce, arbitration, liberalization of the telecommunications markets, and trade in telecommunications services.

WORLD BANK

World Bank Group – Basics

The World Bank Group is an international partnership comprising 189 countries and five constituent institutions that works towards eradicating poverty and creating prosperity.

The five development institutions under the World Bank Group are:

- International Bank for Reconstruction and Development (IBRD)
- International Development Association (IDA)
- International Finance Corporation (IFC)
- Multilateral Guarantee Agency (MIGA)
- International Centre for the Settlement of Investment Disputes (ICSID)

Point to note: The IBRD and the IDA together form the World Bank.

WORLD BANK GROUP

International Bank for Reconstruction and Development (IBRD)
Formed: 1944
Work: Providing loans, grants & credit
Is India a member? Yes

International Development Association (IDA)
Formed: 1960
Work: Providing low or no interest loans to poor countries
Is India a member? Yes

International Finance Corporation (IFC)
Formed: 1956
Work: Providing investment, advisory, and asset management services to foster private sector investment in LDCs
Is India a member? Yes

Multilateral Guarantee Agency (MIGA)
Formed: 1988
Work: Offering political risk insurance and credit enhancement guarantees
Is India a member? Yes

International Centre for the Settlement of Investment Disputes (ICSID)
Formed: 1966
Work: Functions as a dispute settlement institution
Is India a member? No

The IBRD and the IDA together form the World Bank.
All the five institutions together form the World Bank Group

Functions of World Bank

- The World Bank Group was established after World War II with the objective of rebuilding the countries damaged due to the war.
- With time, it encouraged the development of lower and middle-income countries and improved the standard of living there.
- It also focused on encouraging long-term capital investment.
- World Bank Group promotes investment in developing countries. It offered financial support, expertise and technical assistance.